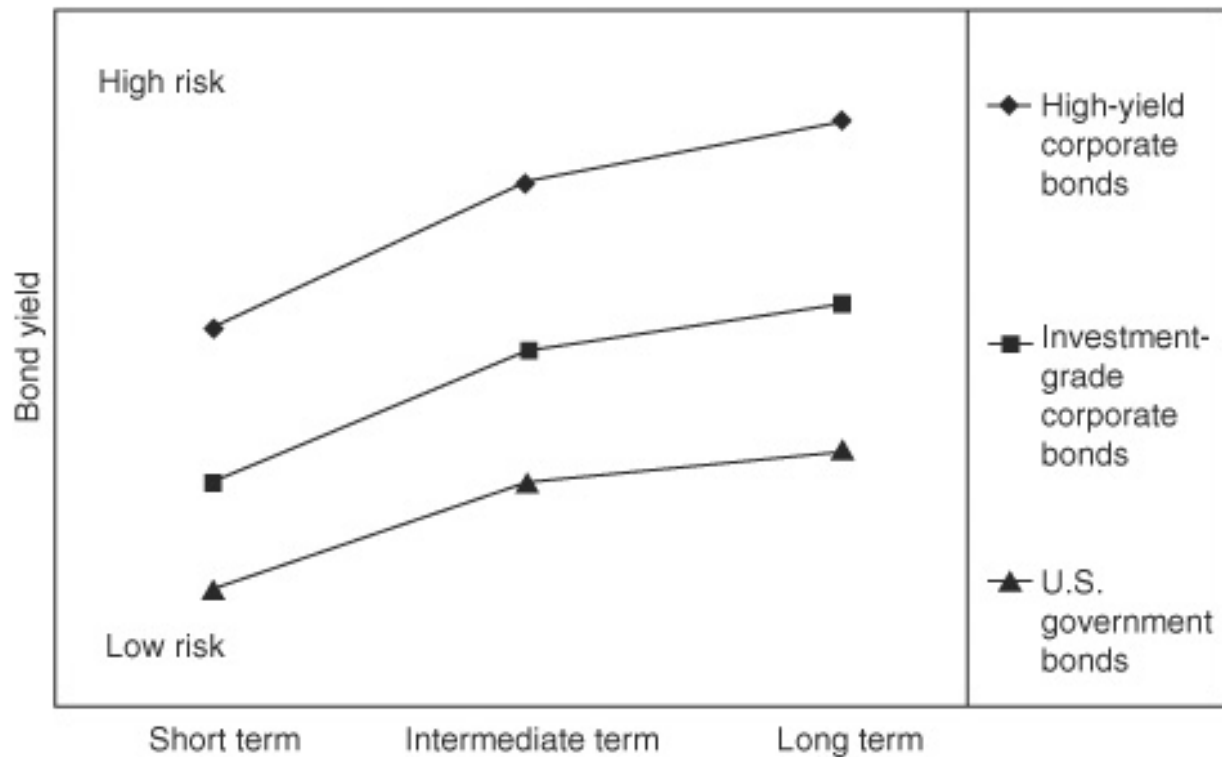


High risk	SH	IH	LH
Medium risk	SM	IM	LM
Low risk	SL	IL	LL
	Short term	Intermediate term	Long term

FIGURE 8-2
Fixed-Income Risk-and-Return Comparison



Interest-rate risk and credit risk determine how much a bond should pay in order to compensate investors for taking those risks. Higher potential returns are found in bonds with low credit quality and long-term maturities.